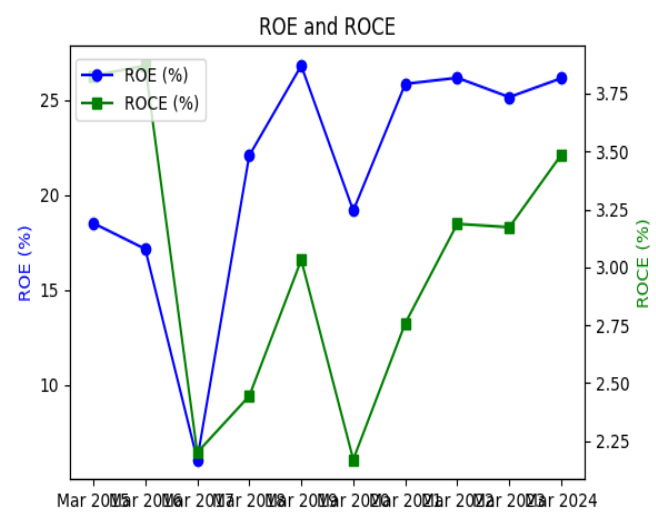
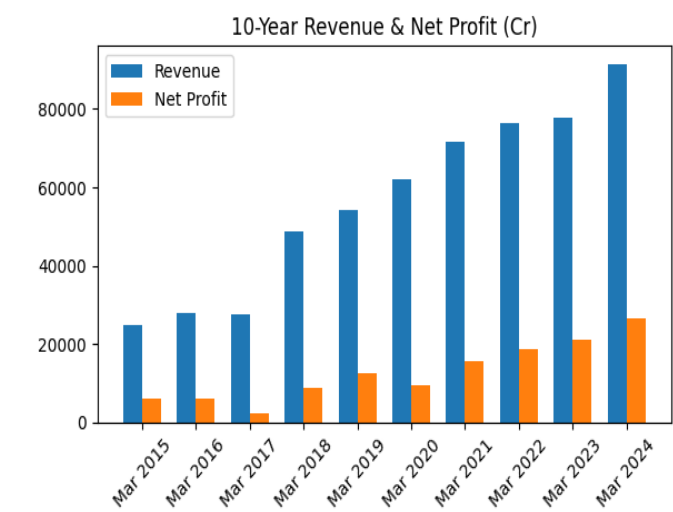
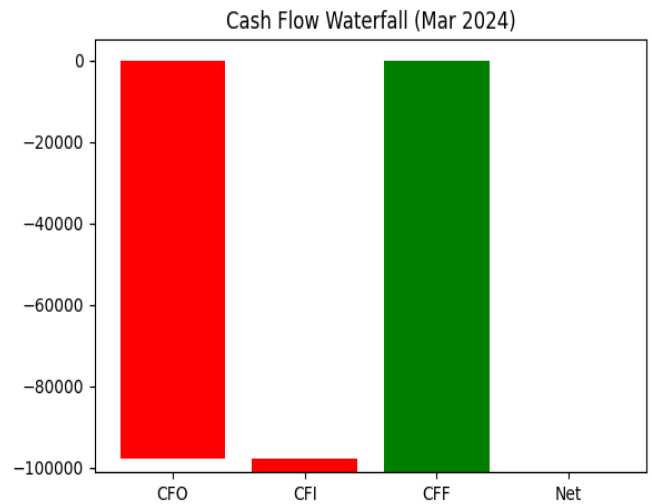
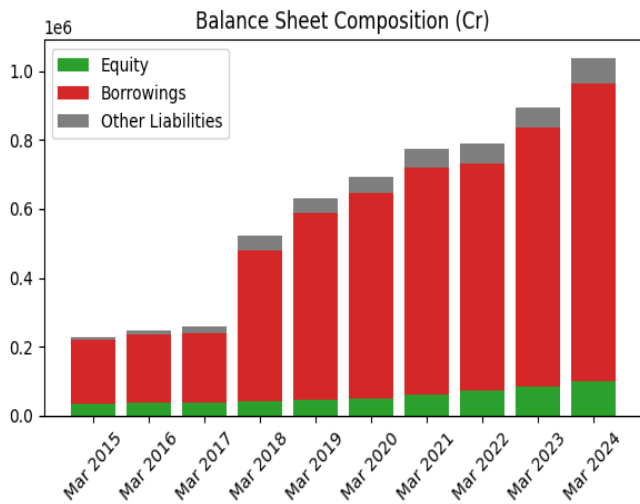


Power Finance Corporation Ltd (PFC)

Revenue ■98,152 Cr	Net Profit ■28,248 Cr	ROE 26.2%
ROCE 3.5%	CFO Quality Accrual Risk	Allocation Growth Funded by Debt





Pros

- Growing asset base funded by internal accruals reflects self-sustaining growth
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern: Growth Funded by Debt